Sample Technology Co., Ltd.

Internal Regulations and Work Rules

Effective Date: October 1, 2026

Part I. General Provisions and Code of Conduct

Article 1. Purpose and Order of Precedence

These Regulations set out the working conditions, employee conduct, wages, and corporate ethics of Sample Technology Co., Ltd. (the "Company"). Provisions that conflict with laws and regulations or collective agreements shall not apply. Where an individual employment contract contains valid terms more favorable than these Regulations, those terms shall apply.

Article 2. Scope of Application

These Regulations apply to all employees directly employed by the Company. Where separate provisions concerning working hours, wages, or other matters apply to part-time or fixed-term employees, those provisions shall apply together with these Regulations, and no unreasonable differences in treatment shall be established. Dispatched workers are subject to the work rules of their dispatching employer; they shall be required to comply, to the extent necessary, with the Company's safety and information management rules on its premises.

Article 3. Establishment, Amendment, Repeal, and Communication

When establishing or amending work rules, the Company shall seek the opinion of the labor union representing a majority of employees or a properly elected majority representative, as prescribed by law. For each workplace regularly employing ten or more employees, the Company shall submit the work rules, together with the written opinion, to the head of the competent Labor Standards Inspection Office. The rules shall be made known in a manner allowing all employees to consult them at any time. Changes disadvantageous to employees shall be handled in accordance with the Labor Contract Act and other applicable laws.

Article 4. Corporate Ethics and Human Rights

The Company and its employees shall respect applicable laws and regulations, product safety, environmental protection, fair business practices, human rights, and personal information protection. Harassment, discrimination, falsification of records, improper provision of benefits, and retaliation are prohibited.

Article 5. Safety, Quality, and Confidentiality

Employees shall comply with standard operating procedures (SOPs) for machinery, chemical substances, and manufacturing processes, and promptly report defects, accidents, and near misses. Confidential information and personal information obtained through work shall be used only to the extent necessary for business purposes. These requirements shall not obstruct reports made under law, public interest disclosures, or the legitimate exercise of workers' rights.

Article 6. Internal Reporting

The compliance department and an external consultation service shall serve as contact points for consultations concerning legal violations and other misconduct, and for public interest disclosures. The confidentiality of reporters and persons cooperating with investigations shall be protected to the extent necessary. Dismissal, demotion, or other disadvantageous treatment because of a report is prohibited. Persons with a conflict of interest shall be excluded from conducting investigations.

Part II. Work Rules

Chapter 1. Recruitment and Personnel Transfers

Article 7. Recruitment and Required Documents

The Company shall recruit employees through appropriate selection procedures. Within 14 days after hiring, employees shall be required to submit a certificate of matters recorded in the resident register, identification documents, qualification certificates, and documents required for tax and social insurance procedures, insofar as necessary for business purposes. The purposes of use shall be specified. Unnecessary information concerning registered domicile or family members shall not be collected.

Article 8. Probationary Period

The probationary period for newly hired employees shall be three months from the date of hiring and shall count toward length of service. Any extension shall be made after stating reasonable grounds and consulting the employee, and the total period shall not exceed six months. Dismissal during probation shall also comply with the requirements of objective reasonableness, appropriateness in light of generally accepted social standards, and statutory dismissal notice procedures.

Article 9. Notification of Working Conditions

At hiring and upon renewal of a fixed-term contract, the Company shall specify the statutory particulars in a notice of working conditions or similar document. These include the employment contract period, renewal criteria and renewal limits, workplace and job duties and the scope of possible changes to them, start and finish times, breaks, days off, wages, resignation, retirement, and dismissal. At a renewal when the right to request conversion to an indefinite-term contract arises, the Company shall specify the opportunity to make that request and the working conditions following conversion.

Article 10. Personnel Transfers

Where necessary for business operations, the Company may order reassignment or other personnel transfers within the scope of changes specified in the employment contract. The employee's circumstances and childcare or family care responsibilities shall be taken into consideration. Secondment requires a basis in the contract or applicable regulations. A transfer of employment to another employer requires the employee's individual consent.

Article 11. Leave of Absence

Where an employee is unable to work for more than 30 consecutive calendar days due to a non-work-related illness or injury and requires treatment or recuperation, the Company may place the employee on leave of absence for up to three months for service of less than one year, six months for service of at least one year but less than three years, or 12 months for service of three years or more. Such leave shall be unpaid. When considering a return to work, the Company shall examine the opinions of the attending physician and occupational physician and the possibility of workplace accommodations. Where returning to work is difficult at the end of the leave period, the matter shall be determined in light of the individual circumstances and applicable laws. Work-related illness or injury and statutory leave shall be treated separately from this leave for non-work-related illness or injury.

Chapter 2. Employee Conduct and Harassment

Article 12. Employee Conduct

Employees shall follow lawful and reasonable work-related instructions, accurately prepare attendance, quality, and accounting records, and refrain from concealing accidents. Preparation before work, handovers, changing into work clothing, and similar activities shall be recorded as working time when performed under the employer's direction and control.

Article 13. Prohibited Conduct and Consultation

Workplace power harassment, sexual harassment, harassment relating to pregnancy, childbirth, childcare leave, family care leave, and similar matters, and other conduct infringing personal dignity are prohibited. The human resources function and an external consultation service shall serve as consultation contacts. Persons seeking consultation, victims, and persons providing assistance shall not be subjected to disadvantageous treatment.

Article 14. Secondary Employment and Concurrent Work

Employees may engage in secondary employment or concurrent work outside working hours. The Company may impose restrictions only to the extent necessary where specific interference with the performance of work, leakage of business secrets, infringement of legitimate interests through competition, damage to reputation, or similar circumstances are established. The Company may require notification of matters necessary to aggregate working hours and protect health.

Article 15. Recording Start and Finish Times and Reporting Absence

Employees shall record their actual start and finish times using an objective attendance system. Absence, lateness, and early departure shall be reported in advance whenever possible; where unavoidable, they shall be reported promptly afterward. The Company shall ascertain actual working hours and identify and rectify unreported work.

Chapter 3. Working Hours, Breaks, and Days Off

Article 16. Prescribed Working Hours and Breaks

Prescribed working hours shall be eight hours per day and 40 hours per week, with work starting at 9:00 a.m. and ending at 6:00 p.m., and a one-hour break from 12:00 noon to 1:00 p.m. Employees shall, in principle, be free to use their break time as they wish. Any portion interrupted by work instructions shall be treated as working time.

Article 17. Days Off

Days off shall be Saturdays and Sundays each week, national holidays, December 29 through January 3 of the following year, and August 13 through August 15. Sunday of each week shall be the statutory day off. Any substitution of a day off shall be notified in advance, identifying both the original date and the substitute date, and shall comply with statutory requirements.

Article 18. Shift Work and Variable Working-Hours Systems

The Company's normal work arrangement shall be fixed daytime hours. Shift work and variable working-hours systems shall not be adopted.

Article 19. Overtime and Work on Statutory Days Off

Work exceeding statutory working hours and work on statutory days off shall be ordered only within the scope of a valid Article 36 Agreement concluded and filed in advance. As a rule, overtime shall not exceed 45 hours per month or 360 hours per year. Even where a special clause is agreed, statutory limits and health protection measures shall be observed, as shall statutory restrictions for young workers, pregnant employees, employees who have recently given birth, and other protected persons. Hours actually worked shall be properly recorded and paid for, regardless of whether approval was obtained.

Article 20. Rest Intervals Between Working Days

The Company shall adjust work schedules with the aim of securing, in principle, at least 11 hours of rest between the end of one working day and the start of the next. Where this rest interval cannot unavoidably be maintained, the Company shall discuss measures such as changing the start time and individually specify how wages and working hours will be treated.

Chapter 4. Leave

Article 21. Annual Paid Leave

Employees who have completed six months of continuous service and attended at least 80% of all scheduled working days shall receive ten days of annual paid leave. Subsequent grants shall be 11 days at one year and six months of service; 12 days at two years and six months; 14 days at three years and six months; 16 days at four years and six months; 18 days at five years and six months; and 20 days at six years and six months or more. Employees with fewer prescribed working days per week or other qualifying reduced schedules shall receive proportionate grants in accordance with law.

Article 22. Taking Annual Paid Leave and Designation of Dates

Annual paid leave shall be granted at the time requested by the employee. The statutory right to change the requested dates shall be exercised only where taking leave would interfere with the normal operation of the business. As a rule, notice should be given by the preceding business day, but urgent requests shall also be accepted. Employees granted ten or more days per year shall be ensured at least five days of leave within one year of the grant date. After deducting days already taken by the employee and other applicable days, the Company shall designate dates as necessary, having heard and respected the employee's views. Annual paid leave in hourly units shall be permitted up to the equivalent of five days per year after a labor-management agreement is concluded.

Article 23. Maternity Leave and Maternal Health Management

Leave shall be granted upon request to an employee whose expected delivery date falls within six weeks (14 weeks for a multiple pregnancy), and for eight weeks after childbirth. After six weeks following childbirth, work may be permitted at the employee's request to the extent approved by a physician. Time shall be secured for health guidance and medical examinations, and work shall be reduced or adjusted in accordance with instructions from a physician or other qualified professional. Restrictions on overtime, work on days off, and late-night work for pregnant employees and employees who have recently given birth shall be implemented in accordance with law.

Article 24. Childcare Time and Menstrual Leave

Statutory childcare time shall be granted upon request to a female employee raising a child under one year of age. Necessary leave shall be granted upon request to a female employee for whom working during menstruation is substantially difficult. Such childcare time and leave shall be unpaid.

Article 25. Childcare and Family Care Arrangements

Childcare leave, childcare leave at the time of birth, family care leave, leave for nursing a child and related purposes, short-term family care leave, restrictions on work beyond prescribed hours, overtime and late-night work, reduced working hours, measures enabling flexible work arrangements, and related systems shall be administered in accordance with statutory eligibility requirements, entitlements, procedures, individual notification requirements, and requirements to ascertain employees' intentions. The Company shall not obstruct the exercise of statutory rights and shall provide necessary individual support.

Article 26. Special Leave

Paid special leave shall be granted as follows: five working days for the employee's marriage; two working days for the birth of a child to the employee's spouse; one working day for the marriage of the employee's child; five working days upon the death of the employee's spouse, parent, or child; and three working days upon the death of the employee's grandparent, sibling, or spouse's parent. Up to five days per year of unpaid sick leave shall be permitted for non-work-related illness or injury. Employees shall not be prevented from taking leave necessary to perform public duties, such as service as a lay judge; such leave shall be unpaid.

Chapter 5. Wages

Article 27. Wage Components and Minimum Wage

Wages shall consist of base pay, position allowance, commuting allowance, qualification allowance, special work allowance, and statutory premium pay. Base pay shall be specified in each employee's notice of working conditions according to duties, ability, and experience, and shall not fall below the minimum wage applicable to the region or industry. Allowances that must be included by law shall be included when comparing pay with the minimum wage.

Article 28. Wage Calculation and Payment

The wage calculation period shall run from the first through the last day of each month, and payment shall be made on the 25th of the following month. If that date is a bank holiday, payment shall be made on the preceding business day. Wages shall be paid in full, in currency, directly to the employee; with the employee's consent, payment may be made by transfer to an account designated by the employee. No deductions shall be made other than statutory deductions and items specified in a valid labor-management agreement on wage deductions. Payment in emergencies shall be handled in accordance with law.

Article 29. Deductions for Absence and Allowance for Employer-Attributable Work Stoppages

Deductions for lateness, early departure, or absence shall be limited to the corresponding time not worked. For work stoppages attributable to the Company, an allowance of at least 60% of average wages shall be paid in accordance with Article 26 of the Labor Standards Act. Normal wages shall be paid during annual paid leave.

Article 30. Premium Pay

Premiums shall be added in accordance with law at rates of at least 25% for statutory overtime, at least 50% for statutory overtime exceeding 60 hours per month, at least 35% for work on statutory days off, and at least 25% for late-night work between 10:00 p.m. and 5:00 a.m. Where multiple premium conditions overlap, the applicable rates shall be added together. Work exceeding prescribed working hours but remaining within statutory working hours shall be paid at the normal hourly wage. Only allowances specified by law may be excluded from the calculation base; allowances shall not be uniformly excluded solely on the basis of their names.

Article 31. Sample Allowance Amounts

Position allowance: JPY 30,000 per month for a section manager and JPY 10,000 per month for a senior staff member. Commuting allowance: reasonable actual expenses, capped at JPY 30,000 per month. Qualification allowance: JPY 3,000 per month for QC Certification Level 2; JPY 5,000 per month for an operations chief of specified chemical substances; and JPY 2,000 per month for completion of forklift operation skills training. Special work allowance: JPY 500 per day for work involving designated hazardous chemicals and JPY 500 per day for work at height. Qualification allowances shall be paid when the employee performs duties designated by the Company. Allowances shall not substitute for safety measures.

Article 32. Pay Increases and Bonuses

Pay increases shall be reviewed on April 1 each year and determined according to duties, skills, and performance evaluations. Changes involving a reduction in wages shall comply with contractual and statutory requirements. Bonuses may be paid on June 25 and December 25, taking account of business performance and the employee's work performance. Amounts, calculation periods (summer: October 1 of the preceding year through March 31 of the current year; winter: April 1 through September 30 of the current year), and payment conditions shall be communicated in advance.

Chapter 6. Safety and Health, Quality, and Intellectual Property

Article 33. Safety and Health and Medical Examinations

The Company shall establish a safety and health management system appropriate to the size and operations of each workplace. In accordance with law, it shall conduct medical examinations upon hiring and periodically, provide necessary safety and health education, arrange physician interviews and guidance for employees working long hours, and conduct stress checks and other required measures. Health information shall be handled with restricted purposes of use and access permissions. Compensation for industrial accidents shall be governed by the Labor Standards Act and the Industrial Accident Compensation Insurance Act.

Article 34. Manufacturing, Chemical Substances, and Quality

Chemical substances shall be managed on the basis of safety data sheets and risk assessments. Necessary protective equipment, ventilation, operations chiefs, and other measures shall be provided. Anyone discovering deviations from standard operating procedures or suspected nonconforming products shall report them to the manufacturing and quality assurance functions. The Company shall suspend manufacturing or shipment as necessary and implement corrective action and measures to prevent recurrence.

Article 35. Employee Inventions and Copyright

The treatment of employee inventions and reasonable benefits shall be determined in accordance with the intent of Article 35 of the Patent Act through proper procedures, including regulations established in advance, consultation, and the hearing of opinions. Standard rewards shall be JPY 10,000 per application and JPY 30,000 per registration. Upon implementation, contributions to the Company's profits and other factors shall be assessed individually. Ownership of works created in the course of duties shall be determined in accordance with Article 15 of the Copyright Act and other applicable laws.

Chapter 7. Separation from Employment, Dismissal, and Discipline

Article 36. Mandatory Retirement and Continued Employment

The mandatory retirement date shall be the first March 31 falling on or after the date the employee reaches age 65. Regarding the provision of employment opportunities after age 65, the Company shall hear the employee's wishes and consider measures in accordance with the Act on Stabilization of Employment of Elderly Persons and other applicable laws.

Article 37. Voluntary Resignation and Contract Expiration

Employees on indefinite-term employment contracts shall, in principle, cooperate by giving notice at least 30 days before their intended resignation date. The legal effect of resignation shall, however, be governed by the Civil Code and other applicable laws. Resignation does not require Company approval. Expiration and non-renewal of fixed-term employment contracts shall be handled in accordance with the contract and law, taking account of reasonable expectations of renewal and other relevant circumstances.

Article 38. Conversion to Indefinite-Term Employment

Where fixed-term employment contracts with the same employer have been renewed for a cumulative period exceeding five years and the requirements of Article 18 of the Labor Contract Act are met, the contract shall, upon the employee's request, be converted to an indefinite-term employment contract from the day following expiration of the current contract. When the right to request conversion arises, the Company shall individually specify the opportunity to apply and the working conditions following conversion.

Article 39. Dismissal

The Company shall not dismiss an employee where dismissal lacks objectively reasonable grounds and is not considered appropriate in light of generally accepted social standards. Where dismissal is based on ability, work performance, or similar grounds, circumstances such as guidance and appropriate placement shall be considered. For redundancy dismissals, the Company shall consider necessity, efforts to avoid dismissal, selection of employees, consultation, and other relevant circumstances. Statutory periods during which dismissal is restricted shall be observed. As a rule, the Company shall give at least 30 days' advance notice or pay a dismissal notice allowance calculated using average wages for the number of days by which the notice falls short.

Article 40. Types and Limits of Disciplinary Action

Disciplinary action shall consist of reprimand, pay reduction, suspension from work (up to seven calendar days), dismissal following an opportunity to resign voluntarily, and disciplinary dismissal. A pay reduction for a single incident shall not exceed one-half of one day's average wages, and the aggregate reduction in any wage payment period shall not exceed one-tenth of the total wages for that period. Discipline shall be proportionate to the nature of the conduct and the circumstances, and the employee shall be given an opportunity to explain their position. Advance notice for disciplinary dismissal may be omitted only where an exemption has been certified by the head of the Labor Standards Inspection Office.

Article 41. Grounds for Disciplinary Action

Disciplinary action may be taken for repeated unauthorized absence without justifiable reason, improper disclosure of important business secrets, serious safety violations, intentional falsification of quality or accounting records, embezzlement, violence, serious harassment, and similar conduct, taking account of intent or negligence, harm caused, prevention of recurrence, and other relevant factors. Employees shall not be disciplined solely for lawful reporting, legitimate labor union activities, taking statutory leave, or legitimate secondary employment.

Article 42. Retirement Allowance

A retirement allowance shall be paid to regular employees who have completed at least three years of service. The amount shall equal base pay at separation multiplied by the payment rate corresponding to length of service and the coefficient for the reason for separation. Payment rates shall be 0.5 for at least three but less than five years of service; 1.0 for at least five but less than ten years; 2.0 for at least ten but less than 20 years; and 3.0 for 20 years or more. The coefficient shall be 0.8 for voluntary resignation and 1.0 for mandatory retirement or separation at the Company's initiative. Partial years of service shall be prorated in units of one-twelfth of a year. Any reduction in the case of disciplinary dismissal shall be determined individually in light of the misconduct and the employee's contributions over their service. Payment shall be made to the account designated by the employee within two months after the separation date.

Supplementary Provisions

Article 43. Effective Date

These Regulations shall take effect on October 1, 2026.